

Changing and Reporting Directors and Officers

SECRETARY

Arizona Corporation Commission (ACC)

1. Direct email request from the client.Changes to Directors and Officers of the Association must be reported to the Arizona Corporation Commission. Below is an explanation of what must take place and who is filing the changes with the ACC. This is for general understanding and knowledge.
2. Arizona Property Owners' Associations are incorporated as a nonprofit corporation and there are two separate actions whenever directors or officers change:
 - a. The POA makes the change internally according to its bylaws (election, appointment, resignation, removal, etc.).
 - b. The Arizona Corporation Commission (ACC) is notified so the public corporate record is updated.
 - i. Step 1 – Document the change internally. The Board should:
 1. Accept any resignation (if applicable).
 2. Elect or appoint the new director or officer in accordance with the bylaws.
 3. Record the action in the official Board meeting minutes.
 4. Update the corporate records and officer/director roster under Directors and Officers.
 - ii. Step 2 – File with the Arizona Corporation Commission
3. Currently, the law firm Magnum, Wall, Stoops and Warden, PLLC (POA retained law firm and registered agent) at 100 N Eldon, PO Box 10, Flagstaff AZ 86002 and phone number (928) 779-6951, prepares and files any changes to Association leadership and also prepares and files the Association's Annual Report.
4. There are two main instances for reporting a change of leadership to the ACC.

- a. During the Annual Meeting when new board members are either appointed or elected.
- b. Any time a Special¹ or Emergency² Meeting is called during the year for such an appointment.

Paragraphs 5, 6, and 7 are currently performed by the retained law firm and are for informational purposes only.

5. If the change occurs after the annual report has already been filed, the law firm submits an UPDATE by submitting an Officer/Director/Shareholder Change Form (Form C017). This form is specifically intended to update directors and officers during the year without waiting until the next annual report.
6. If your Annual Report is due soon, you may simply report the new directors and officers on the Annual Report instead of filing the separate change form.
 - a. Information you'll need:
 - i. The filing generally requires, on Association letterhead:
 1. Exact legal name of the corporation.
 2. ACC entity number.
 3. Names of directors/officers being removed.
 4. Names, addresses, and titles of newly elected/appointed directors/officers.
 5. Signature of an authorized corporate officer.
7. Where to file. You can:
 - a. File online through the ACC business portal (for eligible filings)
 - b. Mail or deliver the completed form to the Arizona Corporation Commission. The forms and instructions are available from the ACC's corporation forms page.

1. Urgency of Action: A Special Meeting is appropriate when sufficient time exists to complete the required governance, administrative, legal, or operational actions before a deadline or other critical event (e.g., transferring bank authority following the election of new officers).

2. Urgency of Action: An Emergency Meeting is appropriate when immediate Board action is necessary because insufficient time exists to complete the required governance, administrative, legal, or operational actions before a deadline or other critical event.

8. Practical advice for the POA:

- a. When the POA elects/appoints directors/officers at the annual membership meeting, the following checklist is recommend to maintain continuity:
 - i. Membership elects/appoints directors.
 - ii. Board certifies election/appointment results.
 - iii. Organizational meeting is held.
 - iv. Officers (President, Vice President, Secretary, Treasurer) are elected by the Board.
 - v. Directors are elected by member acreage votes³
 - vi. Meeting minutes are approved.
 - vii. File the ACC Officer/Director Change Form (or report the changes on the upcoming Annual Report, performed by informing the law firm on POA letterhead).
 - viii. Update the POA website, bank signature cards, insurance, and any vendor contact lists.

3. When not enough votes are returned to elect a director the election must then be canceled. Replacement directors can be appointed by the Board under these circumstances to continue POA operations.